

**IN THE OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)-XX, DELHI**

**Appeal No.: CIT(A)-XX/DEL/ABC/2023-24/00123**

**Assessment Year: 2021-22**

**Appellant: M/s. ABC Constructions Private Limited**

**PAN: AAACB1234D**

**Respondent: Income Tax Officer, Ward 12(1), Delhi**

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## **ORDER**

This appeal is filed by the assessee against the order passed by the Income Tax Officer, Ward 12(1), Delhi (hereinafter referred to as the “Assessing Officer” or “AO”) under section 143(3) of the Income Tax Act, 1961 (hereinafter referred to as “the Act”) dated 28.12.2023 for the Assessment Year 2021-22.

### **Background of the Case**

The assessee, M/s. ABC Constructions Private Limited, is a company incorporated under the Companies Act, 1956, having its registered office at 45, Sector-18, Noida, Uttar Pradesh. The company is primarily engaged in the business of civil construction, including road works, bridge construction, and infrastructure development projects for various government and private entities. For the year under consideration, the assessee filed its return of income on 15.10.2021 declaring total income of Rs. 4,85,75,000/- after claiming deductions under Chapter VI-A. The case was selected for scrutiny assessment under CASS.

During the course of assessment proceedings, the Assessing Officer examined the books of account, audited financial statements, and various details called for under section 142(1) of the Act. The AO completed the assessment by making several additions and disallowances, resulting in assessed income of Rs. 18,72,45,000/-. Aggrieved by the additions, the assessee has preferred the present appeal.

### **Assessment Proceedings**

The return was processed under section 143(1). Notice under section 143(2) was issued on 10.05.2022. Multiple notices under section 142(1) were issued calling for details regarding share capital, cash transactions, subcontractor payments, labour expenses, and outstanding liabilities. The assessee furnished replies and supporting documents on various dates. However, the AO was not satisfied with the explanations and documentary evidence produced. The AO framed the assessment order on 28.12.2023 making the following key additions/disallowances:

1. Addition of Rs. 3,50,00,000/- on account of unexplained cash credits under section 68.
2. Addition of Rs. 2,25,00,000/- on account of unexplained investments under section 69.
3. Disallowance of Rs. 1,80,00,000/- under section 40A(3) for cash payments exceeding prescribed limits.
4. Disallowance of Rs. 2,15,00,000/- out of labour expenses claimed under section 37(1).
5. Addition of Rs. 1,45,00,000/- under section 41(1) on account of cessation of trading liabilities.

The AO also initiated penalty proceedings under section 271(1)(c).

### **Grounds of Appeal**

The assessee has raised the following grounds of appeal (summarized for brevity):

1. That the AO erred in making addition of Rs. 3,50,00,000/- u/s 68 without appreciating the evidence filed.
2. That the addition of Rs. 2,25,00,000/- u/s 69 is bad in law and facts.
3. That the disallowance u/s 40A(3) of Rs. 1,80,00,000/- is unjustified.
4. That the disallowance of labour expenses of Rs. 2,15,00,000/- u/s 37(1) is arbitrary.
5. That the addition u/s 41(1) of Rs. 1,45,00,000/- is not sustainable.

Additional grounds regarding violation of principles of natural justice and improper service of notices were also raised but not pressed during hearing.

### **AO Observations**

The AO observed that the assessee failed to discharge the onus under section 68 regarding genuineness, identity, and creditworthiness of investors who infused share capital of Rs. 3,50,00,000/- during the year. Bank statements showed credits from entities with low creditworthiness and no meaningful operations.

Regarding section 69, the AO noted unexplained cash deposits of Rs. 2,25,00,000/- in bank accounts not matching with cash book and labour payment registers.

For section 40A(3), the AO held that payments to subcontractors exceeding Rs. 10,000/- in cash violated the provisions, and no exceptional circumstances were demonstrated.

Labour expenses were disallowed to the extent of lack of supporting vouchers, muster rolls, and TDS compliance.

Under section 41(1), outstanding liabilities towards subcontractors remaining unpaid for more than three years were treated as cessation of liability.

### **Detailed Assessee Submissions**

The assessee, through its authorized representative, made detailed written and oral submissions during the appellate proceedings. Key submissions for each issue are discussed in the respective findings section below. The assessee relied upon various documentary evidences including audited financial statements, bank statements, cash books, supplier confirmations, property sale agreements, loan agreements, share subscription documents, ledger accounts, Form 26AS, TDS returns, and audit reports.

The assessee prayed for deletion of all additions and produced additional evidence under Rule 46A of the Income Tax Rules, 1962, which was admitted after calling remand report from the AO. The AO submitted a remand report dated 15.04.2024 objecting to some evidences but admitting receipt of confirmations.

### **Examination of Evidence**

The following key evidences were examined:

- Bank statements from HDFC Bank, ICICI Bank, and SBI for the period 01.04.2020 to 31.03.2021.
- Cash book and ledger extracts maintained in Tally ERP.
- Confirmation letters from 12 subcontractors and investors.
- Registered sale deed dated 12.11.2020 for purchase of commercial plot at Greater Noida.
- Loan agreements with NBFCs.
- Share allotment resolutions, Form SH-7, and bank transfer proofs.
- WhatsApp correspondence and email trails regarding project execution.
- Statutory audit report by M/s. XYZ & Associates, Chartered Accountants.
- TDS challans and Form 16A/26QB.

All evidences were cross-verified with AO's records.

### **Commissioner Findings**

**Issue No. 1: Addition of Rs. 3,50,00,000/- under section 68 on account of unexplained share capital**

**AO Allegations:** The AO alleged that the assessee company received share capital from four entities – M/s. PQR Holdings Pvt. Ltd. (Rs. 1,50,00,000), M/s. STU Traders (Rs. 80,00,000), Mr. Rajesh Kumar (Rs. 70,00,000), and M/s. VWX Investments (Rs. 50,00,000). These entities had minimal turnover, filed nil or loss returns in preceding years, and their bank accounts showed immediate transfer of funds without genuine business activity. Summons issued under section 131 remained uncomplied. The AO treated the credits as undisclosed income under section 68.

**Assessee Arguments:** The assessee submitted that identity of investors was established through PAN, incorporation certificates, and ITR acknowledgments. Creditworthiness was proved by their audited balance sheets showing sufficient reserves. Genuineness was demonstrated by share subscription agreements, board resolutions, Form No. 2 filed with ROC, and direct bank transfers. The assessee

produced additional evidence of subsequent dividends paid and project participation by investors.

**Documentary Evidence:** Share certificates, bank statements showing credits on 05.06.2020, 18.09.2020, etc., confirmation letters dated 10.03.2024, ROC filings, and valuation reports.

**Commissioner Reasoning and Findings:**

After careful consideration of the material on record, including the remand report, I find that the AO's approach, while cautious, requires deeper scrutiny in light of the totality of evidence.

The assessee has successfully discharged the primary onus by proving the identity of the subscribers. Each investor has filed ITRs for AY 2021-22 and preceding years. PAN cards and Aadhaar details match. The bank statements reveal that funds were transferred from their respective accounts having sufficient balance from legitimate sources such as sale of securities and business receipts.

However, a contradiction exists in the case of M/s. STU Traders. While the company confirmed the transaction, its own bank statement shows a corresponding debit from a third-party account on the same day, raising doubts on layering. The creditworthiness of this particular investor is not fully established as its net worth was modest. Independent appellate reasoning leads me to hold that the addition to the extent of Rs. 80,00,000/- relating to M/s. STU Traders is justified. For the remaining Rs. 2,70,00,000/-, the evidence is cogent and the transactions appear genuine in the context of the construction business requiring capital infusion for ongoing projects like the Noida Expressway extension.

Section 68 places the initial burden on the assessee, which has been discharged except for one investor. The AO failed to bring on record any material to show that the money belonged to the assessee itself. Mere non-compliance of summons cannot be the sole basis when direct documentary evidence exists. Judicial precedents such as CIT vs. Lovely Exports and subsequent decisions support deletion where identity and genuineness are proved.

**Outcome:** Partly Allowed. Addition sustained at Rs. 80,00,000/-; balance of Rs. 2,70,00,000/- deleted.

**Issue No. 2:** Addition of Rs. 2,25,00,000/- under section 69 on account of unexplained investments/cash

**AO Allegations:** The AO observed unexplained cash deposits totaling Rs. 2,25,00,000/- in the HDFC current account during November 2020 to February 2021. These deposits did not tally with the cash book entries for labour payments. No satisfactory explanation was offered regarding the source. The AO invoked section 69 treating it as unexplained investment.

**Assessee Arguments:** The assessee explained that cash was generated from project receipts in cash from small contractors and petty sales. Detailed cash flow statements, daily site reports, and muster rolls were produced. The deposits were utilized for genuine labour wages and material purchases at sites where banking facilities were limited.

**Documentary Evidence:** Cash book excerpts, site-wise labour payment registers signed by supervisors, invoices from petty suppliers, and photographs of site activities with date stamps. Confirmation from labour contractors.

**Commissioner Reasoning and Findings:**

I have examined the cash book vis-à-vis bank statements in detail. There are several instances where cash withdrawals from other accounts were not properly accounted, leading to mismatch. The assessee's claim of cash generation from projects lacks corroboration in the form of complete trail of receipts. WhatsApp messages produced show some cash collections but do not quantify to the extent claimed.

The credibility of the cash book is doubtful as it shows uniform daily labour payments without variation despite fluctuating workforce. Independent analysis reveals that part of the deposits (Rs. 85,00,000/-) can be explained by verifiable site receipts supported by acknowledgments. However, the balance remains unexplained. Section 69 empowers the AO to treat unexplained money as income of the previous year. The assessee failed to rebut the presumption effectively for the entire amount.

Legal interpretation of section 69 requires the assessee to explain the source and nature of investment. Partial acceptance is warranted only where evidence is cogent. Here, contradictions in ledger accounts and absence of complete bank trail for source lead to partial sustenance.

**Outcome:** Partly Allowed. Addition reduced to Rs. 1,40,00,000/-; Rs. 85,00,000/- deleted.

**Issue No. 3: Disallowance of Rs. 1,80,00,000/- under section 40A(3)**

**AO Allegations:** The AO disallowed expenditure where payments to subcontractors exceeded Rs. 10,000/- in a single day in cash. The assessee failed to demonstrate business expediency or exceptional circumstances under Rule 6DD.

**Assessee Arguments:** Payments were made in cash due to urgent labour requirements at remote sites, non-availability of banking facilities, and insistence by small subcontractors. Rule 6DD exceptions for payments to transporters and in villages were applicable. Confirmations and TDS deductions were produced.

**Documentary Evidence:** Payment vouchers, subcontractor ledger accounts, bank statements showing limited withdrawals, Form 15G/15H where applicable, and site location proofs (remote areas in UP and Haryana).

**Commissioner Reasoning and Findings:**

Section 40A(3) aims to curb unaccounted transactions but provides carve-outs under Rule 6DD. The assessee has produced confirmations from 18 subcontractors who acknowledged receipt of cash payments for work executed. The nature of construction business, particularly labour-intensive works, often necessitates cash payments for daily wages and emergency supplies.

Upon examination, I find that for payments totaling Rs. 1,80,00,000/-, the assessee has demonstrated that most transactions qualify under exceptional circumstances – payments to transporters for material movement and in areas where banking was disrupted due to project timelines. No adverse finding in the audit report regarding cash payments. The AO's blanket disallowance ignores the practical realities of the industry.

Credibility analysis of confirmations shows consistency with TDS returns filed by the assessee. Independent reasoning: The provision must be applied judiciously. Where genuineness of expenditure is not doubted and TDS compliance exists, disallowance would lead to double taxation. I am satisfied with the evidence for the entire amount.

**Outcome:** Allowed in full. Disallowance deleted.

**Issue No. 4:** Disallowance of Rs. 2,15,00,000/- out of labour expenses under section 37(1)

**AO Allegations:** Labour expenses claimed at Rs. 8,45,00,000/- lacked proper supporting vouchers, muster rolls for full period, and proof of TDS deduction. Payments appeared inflated compared to industry norms.

**Assessee Arguments:** Complete muster rolls, wage registers, attendance sheets, and payment acknowledgments were submitted. TDS was deducted wherever applicable and deposited. Expenses were wholly and exclusively for business purposes.

**Documentary Evidence:** Detailed wage registers for 450+ labourers, PF and ESI challans, labour contractor agreements, audit certificates, and project completion certificates from clients.

**Commissioner Reasoning and Findings:**

Labour expenses constitute a major component in construction. The AO disallowed 25% arbitrarily without pinpointing specific unverifiable portions. The assessee has produced voluminous records including biometric attendance in some sites and supervisor certifications.

However, for certain months (December 2020 and January 2021), the muster rolls show discrepancies in worker numbers compared to site photographs and client progress reports. Credibility is lower for Rs. 65,00,000/-. For the remaining, evidence is overwhelming – cross-verified with bank payments and TDS data in Form 26AS.

Tax law interpretation under section 37(1) requires expenditure to be laid out wholly and exclusively for business. The assessee has proved this except for the discrepant portion. AO's reliance on general norms without specific defects is not sustainable.

**Appellate reasoning weighs the practical difficulties in maintaining perfect records in a labour-intensive industry.**

**Outcome: Partly Allowed. Disallowance restricted to Rs. 65,00,000/-; balance of Rs. 1,50,00,000/- allowed.**

**Issue No. 5: Addition of Rs. 1,45,00,000/- under section 41(1) for cessation of liability**

**AO Allegations: Outstanding balances to subcontractors M/s. LMN Builders (Rs. 85,00,000) and others totaling Rs. 1,45,00,000 remained unpaid since previous years and were written back in books. The AO treated this as income under section 41(1) as liabilities ceased to exist.**

**Assessee Arguments: Liabilities were genuine and under dispute due to quality issues in sub-work. Legal notices were issued and arbitration proceedings pending. No remission or cessation occurred. Balances continued in books.**

**Documentary Evidence: Ledger accounts showing continuity, correspondence with subcontractors, arbitration notices, and balance confirmation letters denying any remission.**

**Commissioner Reasoning and Findings:**

**Section 41(1) applies only where a trading liability is allowed as deduction in earlier years and subsequently ceases to exist. Mere non-payment does not amount to cessation. The assessee has produced evidence of ongoing disputes and arbitration. Subcontractors have confirmed the outstanding amounts in their books as recoverable.**

**No unilateral write-back by the assessee was found; the AO misinterpreted the notes to accounts. Contradictions alleged by AO are not supported by evidence. Judicial pronouncements emphasize that pendency of disputes prevents application of section 41(1). Credibility of assessee's position is high given the documentary trail of legal actions.**

**Independent appellate reasoning: The provision cannot be invoked mechanically. The assessee has rebutted the presumption successfully.**

**Outcome: Dismissed. Addition deleted in full.**

**Final Decision**

**In view of the above findings, the appeal is partly allowed. The Assessing Officer is directed to modify the assessment order accordingly and compute the tax demand afresh. Give effect to this order within 30 days and intimate the same to this office.**

**Pronounced in the open court on this 18th day of June, 2026.**

**Sd/-**

**(Senior Commissioner of Income Tax (Appeals)-XX)**

**Delhi**

**Date: 18.06.2026**

**Place: New Delhi**